SUNDARAM FINANCE
Enduring values. New age thinking.

Facility Letter

Reference No: CHE/SME/040/2022-23 **Date: 08/08/2022**

M/s. Dynamic Air Engineering India Private Limited
No.4, Boopathy Nagar, Industrial Estate,
Keelkattalai, Chennai, Tamil Nadu, 600117

Kind Attn: Mr. K. Karthikeyan, Managing Director

Dear Sir,

Sub: Sanction of Machinery Term Loan Facility of Rs. 151.00 lakhs

We are pleased to advise sanction of Machinery Term Loan as per the following terms and conditions:

Term Sheet			
1	Facility	:	Machinery Term Loan
2	Limit	:	Rs 151.00 Lakhs
3	Purpose	:	Purchase of Machinery
4	Validity	:	60 days from the date of sanction
5	Nature	:	Non - Revolving
6	Disbursement	:	To be disbursed directly to the supplier
7	Security	:	Primary Security: Hypothecation of below-mentioned machines

S. No.	Year of Make	Supplier Name	Machine	Asset Category
1	New	GMT Engineers Private Limited	GMT" Hydraulic Swing Beam Shearing machine with accessories	Cat A
2	New		HB series CNC Press Brake with accessories	Cat A
3	New		Goose Neck Punch	
4	New		CNC Fiber Laser Cutting Machine along with accessories	

S. No.	Year of Make	Supplier Name	Machine	Invoice Date
1	2022	Kobelco Plate Processing India Private Limited	Shot Blasting equipment with accessories	15.03.2022
2	2022		Paint Booth Equipment with accessories	15.03.2022
3	2022		Double door Spinner Shot Blasting Machine and	16.02.2022

FOR SUNDARAM FINANCE LIMITED **BORROWER** **GUARANTORS**

For DYNAMIC AIR ENGINEERING (INDIA) PVT. LTD.

Director

SIGNATORY

Sundaram Finance Limited

			Accessories
			Personal Guarantee: • Mr. Karthikeyan • Mrs. Girija Karthikeyan **PDCs:** As per SF Policy
8	Margin	:	10.00%
9	Rate of Interest	:	10.50% p. a
10	Tenure	:	60 months
11	Repayment	:	EMI's
12	Processing Fee	:	1.00% of the facility amount plus applicable taxes payable upfront at the time of acceptance of this facility letter and fee paid is non-refundable.
13	Stock Statements (Working Capital)	:	NA
14	Other Condition(s)	:	Irregularity on account of nonpayment of interest / charges/ installments will attract penal interest of 3% per month.
15	Special Terms and Conditions, if any	:	✓ CA/Self-Certified Net worth statement of the Guarantors to be obtained before disbursement. ✓ Documentation formalities to be completed prior to disbursement of Term Loan as per SFL Policy. ✓ Performa invoice, Confirmation on Margin money receipt to be obtained prior to disbursement and payment to be made directly to the supplier's account for the new machinery purchase ✓ Invoice and Insurance hypothecated to SF to be submitted within 30 days from the date of machine installation ✓ No lien certificate from the auditor, original invoice for the free machines which are being hypothecated to SF as an additional comfort to be obtained prior to disbursement. Insurance with SF endorsement for the free machines which are being hypothecated to SF to be obtained within 15 days from the date of disbursement. ✓ ROC to be filed within 30 days from the date of machine installation ✓ SF SME loan hypothecation' stickers to be affixed on the machinery financed by SF within 15 days from the date of arrival of the machine.
16	Next Review date	:	01.08.2023
17	Documentation	:	As stipulated by SF from time to time

General Covenants:

* SFL will have the right to examine at all times, the Borrower's books of accounts and its officers / sites / factory (ies) / stocking points inspected from time to time by officers of SFL and / Qualified Auditors / Statutory Auditors and / Technical Experts and / Management consultants of the SFL's choice. Cost of such inspection shall be borne by the Borrower.

FOR SUNDARAM FINANCE LIMITED BORROWER GUARANTORS

For DYNAMIC AIR ENGINEERING (INDIA) PVT. LTD.

S. Sundar

SIGNATORY

Sundaram Finance Limited

Director

* The borrower to arrange registration of SFL's charge including ROC charge and Intimation to Mortgage with Sub Registrar Office on the assets secured against the facilities sanctioned, within the stipulated time.
* The Borrower to route all banking transactions through the designated account approved by SFL only. Additional current accounts if any, with other bank can be opened or continued only with prior written consent of SFL.
* All charges pertaining to legal opinion, valuations, insurance, ROC search, other incidental expenses, etc, to be borne by the Borrower and the charges once paid is non-refundable. SF Fund Transfer Price, effective interest rate, fees, commission and other charges are subject to change at any time at the sole discretion of SFL or if so required by Reserve Bank of India (''RBI"). All interest rates, fees, commission and other charges are exclusive of interest tax and service tax (if applicable) and the same will be recovered separately.
* In case of takeover of facilities from other bank, the borrower would submit No Dues/ No Charge / Satisfaction of charge certificate from existing bank/FI within 30 days of the disbursement, failing which an additional interest of 2% on the outstanding amount would be due and payable.
* Borrower to furnish us on a regular basis Statement of stocks and book debts, on a monthly basis for Drawing Power linked facilities, to be submitted latest by the 25th of subsequent month. Any delay in submission of stock statement will attract late payment charges of Rs. 5,000/- p.m.
* Working Capital facilities are payable on demand and are subject to annual renewal. Renewal documents are to be submitted 60 days prior to the due dates as mentioned above. Please note that SFL shall not renew/ enhance the limit granted or to be granted to you otherwise than at the SFL's sole and absolute discretion and in no circumstances the loan amount shall at any point of time exceed in the aggregate with interest thereon and other costs, if any, such limit as the SFL may, from time to time, decide in respect of each facility or in the aggregate SFL reserves the right to charge an additional interest @ 2% in case the documents / requires information are not submitted within the due date resulting in delay/ non-renewal of limits.
* In case for facilities to be renewed on an annual basis, the utilisation of the limit over the stipulated date of renewal shall be treated as deemed acceptance by the Borrower and guarantors to continue the facility on the terms and conditions accepted for the original sanction. SFL will have the authority to debit the charges for renewal of facility at its sole discretion on the same terms and conditions of this letter and the Borrower by accepting this letter agrees for the same.
* The Borrower shall endorse / assign the insurance policy in SFL's favour, covering the full value of assets, hypothecated / Mortgaged / assigned to SFL. In case, the property assets are found to be not insured / inadequately insured / the evidence to this effort is not made available to SFL, in order to protect its interest SFL reserves the right to take adequate insurance cover for such property / assets any cost and risks arising out of this would be borne by the borrower and Sundaram Finance Ltd reserves the right to debit the Borrower's account towards the Insurance Premium charged by the Insurance Company by accepting this Facility Letter you are authorising SFL to recover the amount of Premium by debiting your account maintained with us.
* The Institution as a matter of policy does not accept laminated title / security documents. The borrower is therefore advised to upfront in form the Institution as to whether the Title / Security documents are laminated or not. The Institution further reserves its right to accept or

FOR SUNDARAM FINANCE LIMITED **BORROWER** **GUARANTORS**

For DYNAMIC AIR ENGINEERING (INDIA) PVT. LTD.

S. Sundar

SIGNATORY

Sundaram Finance Limited

Director

reject any Title / Security documents, with or without assigning any reasons. "The decision of the Institution shall be final and binding on the Borrower in this regard".

* Upon issuance of the Pay - order / Counter Guarantee in favour of the earlier Bank/FI, the cancellation of the same will attract pre - closure charges as stipulated above.
* Underutilisation/ utilisation of the limit at a level below 60% will attract the levy of the commitment charge.
* The Institution reserves the right to discontinue the facility and to withhold / stop any disbursements without giving any notice in case of non - compliance / breach of any terms and conditions stipulated herein and from time to time as also in the relevant documents or any information / particulars furnished to us is found to be incorrect or in case of any development or situations due to which in the opinion of the Institution, its interest will be / is likely to be prejudicially affected by such continuation or disbursements.
* The Borrower further agrees that in addition to right enjoyed by SFL, in the event of Borrower committing any act of default, SFL shall be entitled to disclose to RBI / CIBIL / any other third person, the name/ identity / details of the Borrower and the fact of its having committed any act of default as aforesaid.
* Notwithstanding the terms herein and in conformity with normal business practice, we reserve the right to review this Facility or any of the terms and conditions thereof including interest spread / any other documents or security relating thereto with immediate effect.
* Any other terms and conditions, which are not specifically covered herein but stipulated in the sanction, should be strictly compiled with, including those stipulated by other banks, if any, under consortium/ Multiple Banking Arrangements.
* Non - Compliance of any of the conditions of sanction or irregularity in the account including unauthorized excess drawings, for any reason will attract penal charges @ 2.00% payable monthly during the period of non - compliance.
* ROC search report to be submitted prior to disbursement.
* Networth certificate of the Guarantors to be submitted prior to disbursement.
* Borrower to undertake that they should not withdraw unsecured loans obtained from group companies during the currency of SFL.
* Interest payable on unsecured loans to be subservient to interest payable to SFL during the currency of SFL.
* SFL may at its sole discretion disclose such information to such institutions(s) in connection with the credit facilities granted to you/ firm/ concern / company.
* During the currency of the SFL's credit facilities, the firm/ concern/ company shall not, without the prior approval of the SFL in writing: -
  - ✓ Effect any major change in its capital structure/in management.
  - ✓ Withdraw moneys brought in by key promoters or depositors
  - ✓ Formulate any scheme of amalgamation/ reconstruction.
  - ✓ Invest by way of share capital in or lend or advance funds to or place deposits with any other concern. Normal trade credit or security deposits in the usual course of business or advances to employees, etc., however, not covered by this covenant.
  - ✓ Undertake guarantee obligations on behalf of another firm/ concern/ company, subsidiary.

FOR SUNDARAM FINANCE LIMITED **BORROWER** **GUARANTORS**

For DYNAMIC AIR ENGINEERING (INDIA) PVT. LTD.

S. Sundar

SIGNATORY

Sundaram Finance Limited

Director

- ✓ Declare dividends (in case of companies) for any year except out of the profits relating to that year.
- ✓ Extend loans & advances to promoters / associates and other companies.
- ✓ Avail additional borrowings from the Banking system, secured / unsecured.
- ✓ Charge / Sell off any of the fixed assets of the Firm

* The borrower shall provide ancillary business wherever possible to the SFL such as Home Loans, Commercial Vehicle, Construction Equipment Finance, Farm Equipment Finance, Fleet Card, Tyre Finance, Mortgage Loans, Business Loans etc.,
* The borrower should not make any drastic changes in its management set up without the SFL's permission.
* The borrower will keep the SFL informed of the happening of any event, likely to have a substantial effect on their production, sales, profits etc., such as labour problem, power cut, etc., and the remedial steps proposed t be taken by it.
* The borrower will keep the SFL advised of any circumstances adversely affecting the financial position of its subsidiaries/ sister concerns (if any) including any action, taken by any creditor against any of the subsidiaries.
* The Borrower shall forward to SFL, Provisional Balance Sheet and Profit and Loss account within 45 days of year - end and audited accounts within 6 months from the year – end.
* The credit facilities shall not be transferred/ assigned by the borrower to any other entity without permission of the SFL. In case there is any transfer/ assignment the loan shall be recalled at the sole discretion of the SFL.
* The borrower shall immediately inform the SFL in case of any change in its Micro/ Small Enterprise (MSE) status. The SFL may at its sole discretion reassess/ reconsider/ recall the credit facilities, in such an event.
* The SFL's Schedule of charges for various services is enclosed.
* The Borrower(s) shall be deemed to have given their express consent to the SFL to disclose the information and data furnished by them to the SFL and also those regarding the credit facility/ies to the Credit Information Bureau (India) Ltd. ("CIBIL"), upon signing the copy of the sanction letter. The Borrower(s) and Guarantor(s) shall further execute such additional documents as may be necessary for this purpose.
* The EMI will be paid by you through standing instructions/ PDCs dated 5th or 10th every month on the basis of date of disbursement / first drawal. The borrower is required to furnish number of PDCs as per SFL policy
* All taxes on the property including interalia building tax, corporation tax and other local taxes, if any, should be promptly paid and copies of the annual tax paid receipts should be submitted to us regularly.
* Any additional cost such as payment towards Electricity Meter, Society formation, one-time maintenance etc, should be paid by you directly and documentary evidence of the same to be submitted to us.
* Evidence of our charge on the company's properties should be displayed prominently.
* The borrower will not be entitled to sell, mortgage, lease, surrender or alienate the mortgaged property, or any part thereof, during the subsistence of the mortgage.
* The loan is at the sole discretion of Sundaram Finance Limited.

FOR SUNDARAM FINANCE LIMITED For DYNAMIC AIR ENGINEERING (INDIA) PVT. LTD. BORROWER GUARANTORS

S. Sundar

SIGNATORY Sundaram Finance Limited Director

* In the event of default by you, as per the clauses of Loan Agreement, in payment of loan instalments, interest, cost etc, the loan shall be recalled forthwith without any notice to the borrower. Upon a demand being made on the borrower to repay the amount, you shall forthwith repay the entire amount together with interest, costs and charges etc., failing which, we reserve the right to seek legal remedies to recover its dues from the borrower and guarantors.
* SFL also reserves the right to assign, securitise or otherwise transfer the loan hereby agreed to be granted (or a position thereof) to any person or third party (''assignee") without any notice or consent along with or without underlying security/ies (movable and/ or immovable) created or to be created for the benefit of SFL and pursuant to which the assignee shall be entitled to all or any rights and benefits under the loan and other agreements and / or the security/ies created or to be created by me / us or the guarantor.
* If the Term Loans granted by the SFL, are prepaid by way of takeover from other Banks/ NBFCs/ Financial Institutions, etc., the SFL may charge penalty upto 2% on the loan outstanding.

This offer shall be valid for acceptance within 45 days from the date of this letter. You are requested to return duplicate copy of this letter duly signed by you/ the authorised signatory (s) of the company and guarantors on all the pages as taken of acceptance of the terms and conditions of sanction and arrange for execution of loan/ security documents at an early date.

Yours Faithfully,

S. Sundar

Signatory

Borrower: M/s. Dynamic Air Engineering India Private Limited
Name: Mr. K Karthikeyan, Managing Director

Signature(s) / Company's stamp

For DYNAMIC AIR ENGINEERING (INDIA) PVT. LTD.

Director

*(Please sign on the preceding pages as well)
Date: / /
Place: Chennai

FOR SUNDARAM FINANCE LIMITED	BORROWER	GUARANTORS
S. Sundar	For DYNAMIC AIR ENGINEERING (INDIA) PVT. LTD.	
SIGNATORY	Sundaram Finance Limited	
	Director	

SCHEDULE A		
S.NO	DESCRIPTION	AMOUNT
1	CHEQUE COLLECTION CHARGES	Rs.11 per 1000 on O/S Chqs
2	NON PDC / NON-MANDATE COLLECTION CHARGES	Rs.300 per EMI
3	CHEQUE / ELECTRONIC MANDATE DISHONOURING CHARGES	Rs.500 per instance
4	CHARGES FOR FURNISHING SOT & INTEREST - PRINCIPAL BREAKUP (MORE THAN ONCE)	Rs.500 per Statement
5	CHARGES OF SWAPPING OF CHEQUES / ELEC MANDATES	Rs.500 per instance
6	PRE-CLOSURE CHARGES - AFTER SIX MONTHS FROM THE DATE OF AGREEMENT	On the principal o/s 5.00%
7	LOAN CANCELLATION CHARGES	Limit Setup fee non-refundable under any circumstances
8	NON-SUBMISSION OF VALID INSURANCE POLICY COPY	Rs.1000 per asset / Contract within 30 days from the date of agreement and within 30 days from every renewal date. Actuals for machinery to be refunded
9	LEGAL / REPOSSESSOIN EXPENSES	Actuals
10	TRAVELLING EXPNS PER MONTH	Where 2 dues or more which are in arrear Rs.200
11	CASH HANDLING CHARGES	Upto Rs.2000 - NIL 2001 to 10000 - Rs.10 10001 to 50000 Rs.20 50001 to 100000 Rs.50 above 100000 Rs.100 per lakh max Rs.10000
12	RATE OF ADDITIONAL INTEREST PAYABLE FOR NON-PAYMENT OF INSTALMENTS / INTEREST ON DUE DATES	3 % P.M (36 % P.A.)
13	NON-SUBMISSION OF MONTHLY BANK STATEMENT	Rs.5000
14	NON-SUBMISSION OF QUARTELY STOCK STATEMENT	Rs.5000
15	NON-PERFECTION OF SECURITY (TAKEOVER)	Collect charges as mentioned in "Accepted Facility Letter by the Client"
16	NON-COMPLIANCE OF CREDIT COVENANTS	Collect charges as mentioned in "Accepted Facility Letter by the Client"

FOR SUNDARAM FINANCE LIMITED BORROWER GUARANTORS

For DYNAMIC AIR ENGINEERING (INDIA) PVT. LTD.

S. Sundar

SIGNATORY

Director

Sundaram Finance Limited

17	DELAY IN SF LIEN IN PROPERTY / STOCK INSURANCE POLICY(TAKEOVER)	Rs.2000
18	NON-SUBMISSION OF RENEWAL PAPERS ON TIME	Rs.10000
19	Non - Submission of TDSC IN TIME	Rs.10000
20	Limit Setup Fee	As accepted in Facility Letter
21	Limit Renewal Fee	As accepted in Facility Letter

FOR SUNDARAM FINANCE LIMITED BORROWER GUARANTORS

For DYNAMIC AIR ENGINEERING (INDIA) PVT. LTD.

SIGNATORY

Sundaram Finance Limited

Director